EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Aparri is a 1st class municipality located at the northernmost tip of Luzon Island, 595 kilometers from Manila. It is a coastal community situated at the mouth of the mighty Cagayan River, dividing it into two geographic areas – Aparri East and Aparri West. The Municipality is composed of 42 barangays sprawled within its 27,600.88-hectare land area, with a population of 64,479 inhabitants. The town proper is made up of 15 Centro block units, the rest in its immediate environs and the west barangays, including the island of barangay Fuga.

Farming and fishing are the people's main sources of livelihood. The vast fertile agricultural land produces abundant quantity of rice, corn, vegetable and legumes. The gently rolling hills are dotted with fruit-bearing trees and an excellent grazing land for livestock. Fishing and fish processing are vital industries. The bodies of water around and within Aparri are teemed with fishes and other marine resources. Nipa shingle sewing and wine-making are thriving enterprises in the western barangays, where nipa palm trees abound.

The strategic location of Aparri makes it a legitimate convergent zone. Since Spanish times, the town had already been the trade and commercial center in Northern Cagayan. It is also the hub and heart of education and learning, finance and institutions in the region. The presence of educational institutions, banks and other financial establishments and national government agencies magnetize people from other municipalities and locations to Aparri.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Aparri for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Aparri, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	1,161,307,066.79	1,138,777,623.88	22,529,442.91
Liabilities	255,434,202.81	233,689,921.32	21,744,281.49
Government Equity	905,872,863.98	905,087,702.56	785,161.42
Financial Performance			
Income	311,734,391.26	353,141,505.58	(41,407,114.32)
Expenses	289,839,941.51	270,581,663.06	19,258,278.45
Net Income	21,894,449.75	82,559,842.52	(60,665,392.77)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Improvement of Aparri Public Park - Phase II	P 4,195,255.69
Construction of Multi-Purpose Building/Gymnasium - Phase VI at Backiling	4,286,125.81
Concreting of Pavement along Seawall at Zone	2,696,670.00
Concreting of Road at Zone 5, Tallungan	1,994,502.73
Concreting of Paruddun Sur Road	1,894,199.27
Construction of ALS Building at Aparri West Central School	1,797,429.82
Concreting of Farm-to-Market Road at Backiling	1,794,371.02
Concreting of Bukig-Caagaman Road	1,695,523.67
Rehabilitation of Multi-Purpose Gym Roofing at Linao	1,298,840.31
Total	**P 21,652,918.32**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Aparri, Cagayan for the year-ended December 31, 2023 due to: (1) unreconciled Accounting and Property records of Property, Plant and Equipment account amounting to P699,854,408.47; (2) unauthorized derecognition of PPE, with a net book value of P27,677,666.84; and (3) unreliable balance of the Trust Liabilities-Disaster Risk Reduction and Management Fund account amounting to P46,436,525.38.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Several priority development projects under the 20% Development Fund of the Municipality aggregating P43.75 million were not fully implemented, contrary to Item 5 of DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017, thus, optimal utilization of the fund for desirable socio-economic development and environmental outcomes may not be attained and timely benefits therefrom have not been received by the constituents.

   We recommended that the Management:

   a) Adhere to the provision of Section 5 DILG-DBM Joint Memorandum Circular No. 2017-1 dated February 22, 2017 to ensure the optimal utilization of 20% Development Fund to help achieve the desirable socio-economic development and environmental management outcomes of the Municipality;

   b) Submit justifications for the delay and non-implementation/completion of the above-mentioned priority projects aggregating P64.407 million from CYs 2020-2023; and

   c) Initiate corrective measures to fasttrack the implementation and completion of unimplemented and ongoing priority projects for CYs 2020-2023 in order to avoid accumulation of unimplemented projects and to ensure the optimal utilization of 20% Development Fund in the ensuing year at lower cost due to soaring prices of commodities.

2. The hiring of Job Order personnel for CY 2023 was not supported with written contracts of service and prior authorization from Sanggunian, contrary to Section 2 of CSC Resolution No. 020790 dated June 5, 2002, Section 4(6) of Presidential Decree No. 1445 and Section 22 (c) of the Local Government Code, thus, casting doubt on the validity of payment of their salaries P27,104,464.43 as at December 31, 2023.

   We recommended that the Management, through the Human Resource Management Office, require the execution of written contracts of service prior to the hiring of job orders to legally bind the parties; and secure prior authorization from the Sanggunian before entering into such contracts, in compliance to Section 2 of CSC Resolution No. 020790 dated June 5, 2002 and Section 22 (c) of the Local Government Code, as previously recommended, to avoid suspensions and/or disallowances in audit. Further, we recommended that the Management submit proof of the reassessment of manpower complement and the lack of funds for the additional plantillas.

3. Certificates of Acceptance for the eight (8) projects totaling to P44,932,908.12 were issued on the same dates with the Statement of Work Accomplished and Certificates of Completion, contrary to the provision of Section 62.2.2 of the

2016 Revised Implementing Rules and Regulations of Republic Act No. 9184, hence, the warranties for the one-year defect liability period for infrastructure projects were not obtained.

We required that the Management submit their justification on their practice of issuing the Certificate of Completion and Certificate of Acceptance simultaneously with the Statement of Work Accomplished, which is non-compliant with Section 62.2.2 of the 2016 Revised IRR of Republic Act No. 9184. We also recommended that the Management stop such practice in order to secure the warranty period prescribed in the said provision.

4. Due to National Government Agencies amounting to P938,170.94 for different projects and programs were not returned to source agencies while P14,582,380.99 remained unutilized/unimplemented, contrary to Item 4 of COA Circular No. 94-013 dated December 13, 1994 and Item 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012, thus, depriving the beneficiaries of the intended benefits to be derived therefrom.

   We recommended that the Management strictly adhere with Item 4 of COA Circular No. 94-013 dated December 13, 1994 and Item 3.1.2 of COA Circular No. 2012-01 dated June 14, 2012 on the submission, and liquidation of fund transfers received from National Government Agencies.

   Further, we recommended that the Management require the Municipal Accountant to immediately collate records to ensure that all unspent balances of fund transfers for completed projects, irrespective of source agency, be returned, and the concerned Departments in charge, ensure that the programs and projects are promptly implemented to maximize the benefits that could be derived therefrom.

5. The validity and accuracy of the release and use of the appropriated 5% LDRRMF for CY 2023 amounting to P15,006,150.00 cannot be ascertained because it was not supported with the Local Disaster Risk Reduction Management Fund Investment Plan as required under Items 5.1.2 and 5.1.3 of COA Circular No. 2012-002 dated September 12, 2012, thus, transparency of the information and accountability in the utilization of the fund were not attained.

   We recommended that the Management instruct the LDRRMO to prepare annually the LDRRMFIP, duly approved by the LCE using the sample format in Annex A of COA Circular No. 2012-002 dated September 12, 2012, and include under a separate caption, the list of projects and activities charged to the unexpended LDRRMF of previous years, pursuant to Item 5.1.2 of the same Circular.

G. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	5,940,000.00	-	-	5,940,000.00	-
Current Year	-	3,060,000.00	-	3,060,000.00	-
Total	**5,940,000.00**	**3,060,000.00**	**-**	**9,000,000.00**	**-**
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of the nineteen (19) audit recommendations in the CY 2022 Annual Audit Report, seven (7) were fully implemented, three (3) were partially implemented and nine (9) were not implemented.